CUSTOMER CHURN ANALYSIS

& RETENTION STRATEGY

Customer Behaviour & Business Performance Analysis

From a 26.54% overall churn rate to a 71.16% priority risk segment

ABC Communications Ltd | AnalystLab Africa — Week 1 Business Analytics Case Study

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Business Problem & Analytical Objective

Business problem

- ABC Communications Ltd needs to understand where customer churn is concentrated and which customer profiles should be prioritised.
- A global churn rate alone is not sufficient to determine where retention action should be focused.
- The analysis therefore moves from overall performance to segment-level risk.

Analytical objective

- Identify the customer segments with the highest churn rates.
- Assess the roles of contract type, tenure, Internet service and payment method.
- Translate findings into targeted, testable and measurable retention actions.

Decision question: Who should management prioritise, when should it intervene, and which interventions should be tested first?

Customer Base at a Glance

The overall rate is the baseline — segmentation reveals where the risk is concentrated.

7,043
Total Customers

1,869
Churned Customers

26.54%
Churn Rate

73.46%
Retention Rate

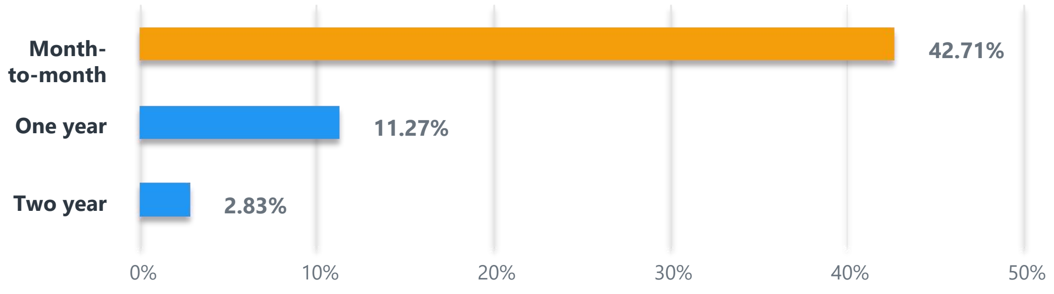
Management reading

Approximately one in four customers has churned. The priority is not to treat this 26.54% as a uniform population, but to identify where risk rises materially above the baseline.

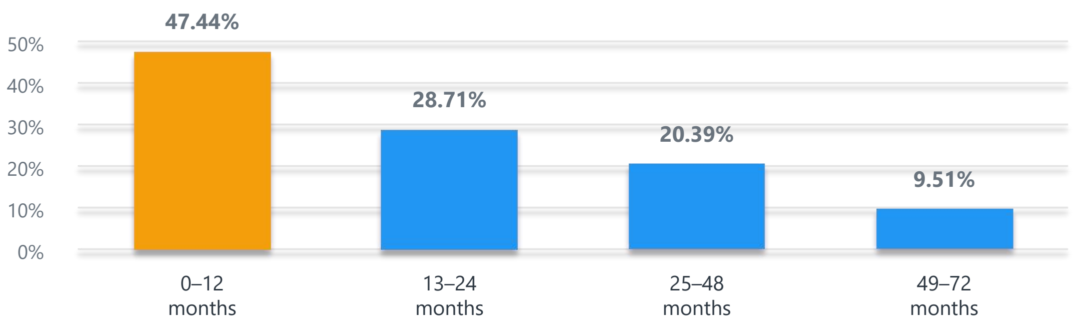
Where Is Churn Concentrated?

Three segmentation views reveal the main concentration points.

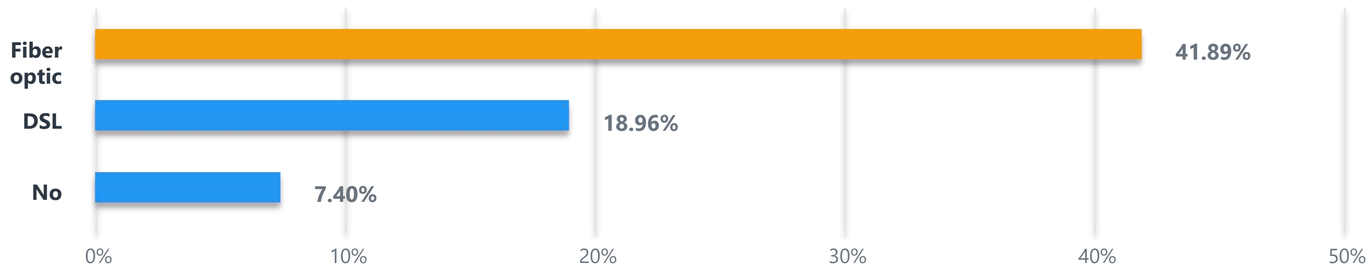
Churn Rate Reaches 42.7% Among Month-to-Month Customers



Churn Peaks at 47.4% During the First 12 Months



Fiber Optic Churn Reaches 41.9%, More Than Twice DSL



Highest observed churn: Month-to-month 42.71% | Tenure 0–12 months 47.44% | Fiber Optic 41.89%

Risk Accumulates Across Customer Characteristics

The strongest signal emerges when risk markers are combined.

26.54%	→	42.71%	→	54.61%	→	60.37%	→	71.16%
Overall population		**Month-to-month**		**+ Fiber Optic**		**+ Electronic Check**		**+ Tenure 0–12 months**

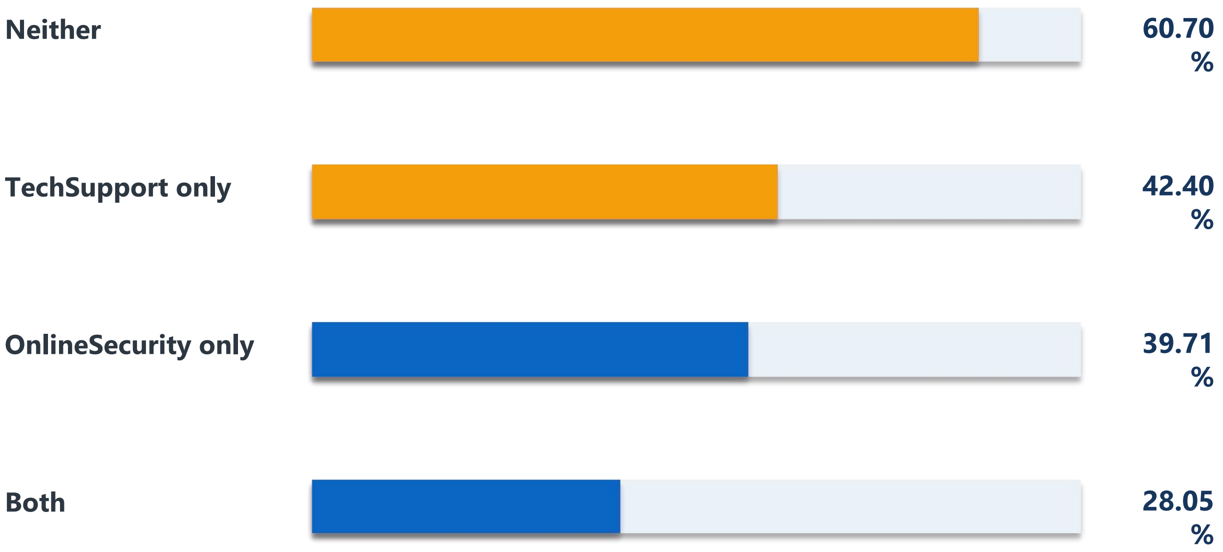
Priority segment: recently acquired Month-to-month Fiber Optic customers paying by Electronic Check.

Interpretation discipline: this is an accumulation of associated risk markers — not proof that any single characteristic causes churn.

A Deeper Look at Fiber Optic Customers

Support and security configuration reveals a strong retention opportunity to test.

Churn Rate within Fiber Optic segment



Management interpretation

- Fiber Optic customers without both services show the highest churn: 60.70%.
- Customers with both TechSupport and OnlineSecurity show 28.05% churn.
- This supports a targeted bundle/pilot hypothesis — not a causal conclusion.

Test before scaling: compare targeted customers with a comparable non-targeted group.

From Insights to Action

Retention actions should follow the risk hierarchy revealed by the analysis.

1	**Early-Life Retention**	Strengthen onboarding and proactive follow-up during the first 12 months.
2	**Risk-Based Targeting**	Prioritise customers accumulating Month-to-month, Fiber Optic, Electronic Check and low-tenure signals.
3	**Contract Migration Test**	Test targeted incentives toward One-year or Two-year contracts.
4	**Fiber Optic Diagnosis**	Investigate service experience, incidents, perceived quality and price-to-value.
5	**Support + Security Pilot**	Test a TechSupport + OnlineSecurity bundle for high-risk Fiber Optic customers.

Management Takeaway

Move from broad retention campaigns to targeted, early and measurable intervention.

TARGET EARLY

The first 12 months are the main vulnerability window. Build retention into the early customer lifecycle.

PRIORITISE RISK

Use accumulated risk markers to focus resources on customers whose observed churn is materially above the 26.54% baseline.

TEST & MEASURE

Treat recommendations as hypotheses. Pilot interventions, compare outcomes and scale only when retention impact is demonstrated.

26.54% overall churn → 71.16% in the priority cumulative-risk segment

The analytical value is not only identifying churn — it is determining where management should act first.

Thank you